Southern Company

4th Quarter 2023 Earnings

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News

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February 15, 2024

Southern Company reports fourth-quarter and full-year 2023 earnings

ATLANTA – Southern Company today reported fourth-quarter earnings of $855 million, or 78 cents per share, in 2023 compared with a loss of $87 million, or 8 cents per share, in the fourth quarter of 2022. Southern Company also reported full-year 2023 earnings of $4.0 billion, or $3.64 per share, compared with $3.5 billion, or $3.28 per share, in 2022.

Excluding the items described under "Net Income – Excluding Items" in the table below, Southern Company earned $700 million, or 64 cents per share, during the fourth quarter of 2023, compared with $285 million, or 26 cents per share, during the fourth quarter of 2022. For the full-year 2023, excluding these items, Southern Company earned $4.0 billion, or $3.65 per share, compared with $3.9 billion, or $3.60 per share, for 2022.

Non-GAAP Financial Measures	**Three Months Ended December**		**Year-to-Date December**	
Net Income - Excluding Items (in millions)	**2023**	2022	**2023**	2022
Net Income - As Reported	**$ 855**	$ (87)	**$ 3,976**	$ 3,524
Less:				
Estimated Loss on Plants Under Construction	**222**	(205)	**51**	(199)
Tax Impact	**(56)**	52	**(13)**	51
Acquisition and Disposition Impacts	**1**	(134)	**(1)**	(115)
Tax Impact	**32**	34	**33**	32
Loss on Extinguishment of Debt	**—**	—	**(5)**	—
Tax Impact	**—**	—	**1**	—
Estimated Loss on Qualifying Infrastructure Plant and Other Capital Investments	**(58)**	—	**(96)**	—
Tax Impact	**14**	—	**24**	—
Impairments	**—**	(119)	**—**	(119)
Tax Impact	**—**	—	**—**	—
Net Income - Excluding Items	**$ 700**	$ 285	**$ 3,982**	$ 3,874
Average Shares Outstanding - (in millions)	**1,092**	1,090	**1,092**	1,075
Basic Earnings Per Share - Excluding Items	**$ 0.64**	$ 0.26	**$ 3.65**	$ 3.60

NOTE: For more information regarding these non-GAAP adjustments, see the footnotes accompanying the Financial Highlights page of the earnings package.

Adjusted earnings drivers for the full year 2023, as compared with 2022, were higher utility revenues, lower non-fuel operations and maintenance costs and income taxes, partially offset by increased depreciation and amortization and interest expense, and milder than normal weather at the company's regulated electric utilities.

Fourth-quarter 2023 operating revenues were $6.0 billion, compared with $7.0 billion for the fourth quarter of 2022, a decrease of 14.2 percent. Operating revenues for the full year 2023 were $25.3 billion, compared with $29.3 billion in 2022, a decrease of 13.8 percent. These decreases were primarily due to lower fuel costs in 2023.

"Last year was an exceptional year for Southern Company," said Chairman, President and CEO Christopher C. Womack. "In 2023, we once again demonstrated that we can accomplish extraordinary things. In addition to delivering strong financial results in the face of unprecedented headwinds, we completed Plant Vogtle Unit 3 – the first newly-constructed nuclear unit in the United States in over three decades."

Southern Company's fourth-quarter and full-year earnings slides with supplemental financial information, including earnings guidance, are available at http://investor.southerncompany.com.

Southern Company's financial analyst call will begin at 1 p.m. Eastern Time today, during which Womack and Chief Financial Officer Daniel S. Tucker will discuss earnings and provide a general business update. Investors, media and the public may listen to a live webcast of the call and view associated slides at http://investor.southerncompany.com. A replay of the webcast will be available on the site for 12 months.

About Southern Company
Southern Company (NYSE: SO) is a leading energy provider serving 9 million customers across the Southeast and beyond through its family of companies. Providing clean, safe, reliable and affordable energy with excellent service is our mission. The company has electric operating companies in three states, natural gas distribution companies in four states, a competitive generation company, a leading distributed energy distribution company with national capabilities, a fiber optics network and telecommunications services. Through an industry-leading commitment to innovation, resilience and sustainability, we are taking action to meet customers' and communities' needs while advancing our goal of net zero greenhouse gas emissions by 2050. Our uncompromising values ensure we put the needs of those we serve at the center of everything we do and are the key to our sustained success. We are transforming energy into economic, environmental and social progress for tomorrow. Our corporate culture and hiring practices have earned the company national awards and recognition from numerous organizations, including Forbes, The Military Times, DiversityInc, Black Enterprise, J.D. Power, Fortune, Human Rights Campaign and more. To learn more, visit www.southerncompany.com.

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Southern Company

Financial Highlights

(In Millions of Dollars Except Earnings Per Share)

	Three Months Ended December		Year-To-Date December	
Net Income (Loss)–As Reported (See Notes)	**2023**	2022	**2023**	2022
Traditional Electric Operating Companies	**$ 785**	$ 62	**$ 3,637**	$ 3,318
Southern Power	**69**	89	**357**	354
Southern Company Gas	**140**	56	**615**	572
Total	**994**	207	**4,609**	4,244
Parent Company and Other	**(139)**	(294)	**(633)**	(720)
Net Income (Loss)–As Reported	**$ 855**	$ (87)	**$ 3,976**	$ 3,524
Basic Earnings (Loss) Per Share[1]	**$ 0.78**	$ (0.08)	**$ 3.64**	$ 3.28
Average Shares Outstanding *(in millions)*	**1,092**	1,090	**1,092**	1,075
End of Period Shares Outstanding *(in millions)*			**1,091**	1,089

Non-GAAP Financial Measures	Three Months Ended December		Year-To-Date December	
Net Income–Excluding Items (See Notes)	**2023**	2022	**2023**	2022
Net Income (Loss)–As Reported	**$ 855**	$ (87)	**$ 3,976**	$ 3,524
Less:				
Estimated Loss on Plants Under Construction[2]	**222**	(205)	**51**	(199)
Tax Impact	**(56)**	52	**(13)**	51
Acquisition and Disposition Impacts[3]	**1**	(134)	**(1)**	(115)
Tax Impact	**32**	34	**33**	32
Loss on Extinguishment of Debt[4]	**—**	—	**(5)**	—
Tax Impact	**—**	—	**1**	—
Estimated Loss on Qualifying Infrastructure Plant and Other Capital Investments[5]	**(58)**	—	**(96)**	—
Tax Impact	**14**	—	**24**	—
Impairments[6]	**—**	(119)	**—**	(119)
Tax Impact	**—**	—	**—**	—
Net Income–Excluding Items	**$ 700**	$ 285	**$ 3,982**	$ 3,874
Basic Earnings Per Share–Excluding Items	**$ 0.64**	$ 0.26	**$ 3.65**	$ 3.60

- See Notes on the following page.

Southern Company
Financial Highlights

Notes

(1) Dilution is not material in any period presented. Diluted earnings (loss) per share was $0.78 and $3.62 for the three and twelve months ended December 31, 2023, respectively, and was $(0.08) and $3.26 for the three and twelve months ended December 31, 2022, respectively.

(2) Earnings for the three and twelve months ended December 31, 2023 include a credit of $228 million pre tax ($170 million after tax) and a net credit of $68 million pre tax ($50 million after tax), respectively, and earnings for the three and twelve months ended December 31, 2022 include a charge of $201 million pre tax ($150 million after tax) and net charges of $183 million pre tax ($137 million after tax), respectively, for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and twelve months ended December 31, 2023 and 2022 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, net of salvage, totaling approximately $15 million annually through 2025.

(3) Earnings for the three and twelve months ended December 31, 2023 include a $35 million favorable tax impact related to a reversal of an uncertain tax position associated with the 2019 sale of Gulf Power Company. Earnings for the three and twelve months ended December 31, 2022 include impairment charges totaling $131 million pre-tax ($99 million after-tax) and other disposition impacts associated with the sales of Southern Company Gas' natural gas storage facilities. Earnings for the twelve months ended December 31, 2022 also include a $14 million pre-tax ($11 million after-tax) gain as a result of the early termination of the transition services agreement related to the 2019 sale of Gulf Power Company. Further impacts may result from future acquisition and disposition activities; however, the amount and timing of any such impacts are uncertain.

(4) Earnings for the twelve months ended December 31, 2023 include costs associated with the extinguishment of debt at Southern Company. Similar transaction costs may occur in the future at Southern Company or one of its unregulated subsidiaries; however, the amount and timing of any such costs are uncertain.

(5) Earnings for the three and twelve months ended December 31, 2023 include a charge of $58 million pre tax ($44 million after tax) and charges totaling $96 million pre tax ($72 million after tax), respectively, for estimated losses at Southern Company Gas associated with the Illinois Commerce Commission disallowances related to (1) its review of the Qualifying Infrastructure Plant (QIP) capital investments by Nicor Gas under the QIP rider, or Investing in Illinois program and (2) Nicor Gas' general base rate case proceeding. Further charges may occur; however, the amount and timing of any such charges are uncertain.

(6) Earnings for the three and twelve months ended December 31, 2022 include an impairment charge of $119 million (pre tax and after tax) associated with goodwill at PowerSecure, Inc. Impairment charges may occur in the future; however, the amount and timing of any such charges are uncertain.

Southern Company
Significant Factors Impacting EPS

	Three Months Ended December			Year-To-Date December		
	2023	2022	Change	**2023**	2022	Change
Earnings (Loss) Per Share– As Reported[1] (See Notes)	**$ 0.78**	$(0.08)	**$ 0.86**	**$ 3.64**	$ 3.28	**$ 0.36**
Significant Factors:						
Traditional Electric Operating Companies			**$ 0.66**			**$ 0.30**
Southern Power			**(0.02)**			**—**
Southern Company Gas			**0.08**			**0.04**
Parent Company and Other			**0.14**			**0.08**
Increase in Shares			**—**			**(0.06)**
Total–As Reported			**$ 0.86**			**$ 0.36**

	Three Months Ended December			Year-To-Date December		
Non-GAAP Financial Measures	**2023**	2022	Change	**2023**	2022	Change
Earnings Per Share– Excluding Items (See Notes)	**$ 0.64**	$ 0.26	**$ 0.38**	**$ 3.65**	$ 3.60	**$ 0.05**
Total–As Reported			**$ 0.86**			**$ 0.36**
Less:						
Estimated Loss on Plants Under Construction[2]			**0.29**			**0.17**
Acquisition and Disposition Impacts[3]			**0.12**			**0.10**
Loss on Extinguishment of Debt[4]			**—**			**—**
Estimated Loss on Qualifying Infrastructure Plant and Other Capital Investments[5]			**(0.04)**			**(0.07)**
Impairments[6]			**0.11**			**0.11**
Total–Excluding Items			**$ 0.38**			**$ 0.05**

- See Notes on the following page.

Southern Company

Significant Factors Impacting EPS

Notes

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(2) Earnings for the three and twelve months ended December 31, 2023 include a credit of $228 million pre tax ($170 million after tax) and a net credit of $68 million pre tax ($50 million after tax), respectively, and earnings for the three and twelve months ended December 31, 2022 include a charge of $201 million pre tax ($150 million after tax) and net charges of $183 million pre tax ($137 million after tax), respectively, for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and twelve months ended December 31, 2023 and 2022 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, net of salvage, totaling approximately $15 million annually through 2025.

(3) Earnings for the three and twelve months ended December 31, 2023 include a $35 million favorable tax impact related to a reversal of an uncertain tax position associated with the 2019 sale of Gulf Power Company. Earnings for the three and twelve months ended December 31, 2022 include impairment charges totaling $131 million pre-tax ($99 million after-tax) and other disposition impacts associated with the sales of Southern Company Gas' natural gas storage facilities. Earnings for the twelve months ended December 31, 2022 also include a $14 million pre-tax ($11 million after-tax) gain as a result of the early termination of the transition services agreement related to the 2019 sale of Gulf Power Company. Further impacts may result from future acquisition and disposition activities; however, the amount and timing of any such impacts are uncertain.

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Southern Company
EPS Earnings Analysis

Description	Three Months Ended December 2023 vs. 2022	Year-To-Date December 2023 vs. 2022
Retail Sales	—¢	(2)¢
Retail Revenue Impacts	26	30
Weather	(2)	(16)
Wholesale & Other Operating Revenues	1	10
Non-Fuel O&M(*)	20	35
Depreciation and Amortization	(15)	(59)
Interest Expense and Other	(2)	(10)
Income Taxes	9	25
Total Traditional Electric Operating Companies	**37¢**	**13¢**
Southern Power	(2)	—
Southern Company Gas	3	2
Parent Company and Other	—	(4)
Increase in Shares	—	(6)
Total Change in EPS (Excluding Items)	**38¢**	**5¢**
Estimated Loss on Plants Under Construction[1]	29	17
Acquisition and Disposition Impacts[2]	12	10
Loss on Extinguishment of Debt[3]	—	—
Estimated Loss on Qualifying Infrastructure Plant and Other Capital Investments[4]	(4)	(7)
Impairments[5]	11	11
Total Change in EPS (As Reported)	**86¢**	**36¢**

(*) Includes non-service cost-related benefits income.

- See additional Notes on the following page.

Southern Company
EPS Earnings Analysis

Notes

(1) Earnings for the three and twelve months ended December 31, 2023 include a credit of $228 million pre tax ($170 million after tax) and a net credit of $68 million pre tax ($50 million after tax), respectively, and earnings for the three and twelve months ended December 31, 2022 include a charge of $201 million pre tax ($150 million after tax) and net charges of $183 million pre tax ($137 million after tax), respectively, for estimated probable losses on Georgia Power Company's construction of Plant Vogtle Units 3 and 4. Further charges may occur; however, the amount and timing of any such charges are uncertain. Earnings for the three and twelve months ended December 31, 2023 and 2022 also include charges (net of salvage proceeds), associated legal expenses (net of insurance recoveries), and tax impacts related to Mississippi Power Company's integrated coal gasification combined cycle facility project in Kemper County, Mississippi. Mississippi Power Company expects to incur additional pre-tax period costs to complete dismantlement of the abandoned gasifier-related assets and site restoration activities, including related costs for compliance and safety, asset retirement obligation accretion, and property taxes, net of salvage, totaling approximately $15 million annually through 2025.

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Southern Company
Consolidated Earnings
As Reported
(In Millions of Dollars)

	Three Months Ended December			Year-To-Date December		
	2023	2022	Change	**2023**	2022	Change
Retail Electric Revenues-						
Fuel	**$ 1,018**	$ 1,460	$ (442)	**$ 4,430**	$ 6,402	$(1,972)
Non-Fuel	**2,728**	2,374	354	**11,913**	11,795	118
Wholesale Electric Revenues	**537**	843	(306)	**2,467**	3,641	(1,174)
Other Electric Revenues	**190**	193	(3)	**792**	747	45
Natural Gas Revenues	**1,285**	1,964	(679)	**4,702**	5,962	(1,260)
Other Revenues	**287**	213	74	**949**	732	217
Total Operating Revenues	**6,045**	7,047	(1,002)	**25,253**	29,279	(4,026)
Fuel and Purchased Power	**1,192**	1,894	(702)	**5,248**	8,428	(3,180)
Cost of Natural Gas	**445**	1,164	(719)	**1,644**	3,004	(1,360)
Cost of Other Sales	**179**	121	58	**560**	396	164
Non-Fuel O&M	**1,741**	2,005	(264)	**6,093**	6,573	(480)
Depreciation and Amortization	**1,160**	935	225	**4,525**	3,663	862
Taxes Other Than Income Taxes	**349**	338	11	**1,425**	1,411	14
Estimated Loss on Plant Vogtle Units 3 and 4	**(228)**	201	(429)	**(68)**	183	(251)
Impairment Charges	**—**	251	(251)	**—**	251	(251)
Total Operating Expenses	**4,838**	6,909	(2,071)	**19,427**	23,909	(4,482)
Operating Income	**1,207**	138	1,069	**5,826**	5,370	456
Allowance for Equity Funds Used During Construction	**68**	61	7	**268**	224	44
Earnings from Equity Method Investments	**34**	42	(8)	**144**	151	(7)
Interest Expense, Net of Amounts Capitalized	**634**	561	73	**2,446**	2,022	424
Other Income (Expense), net	**125**	86	39	**553**	500	53
Income Taxes (Benefit)	**4**	(96)	100	**496**	795	(299)
Net Income (Loss)	**796**	(138)	934	**3,849**	3,428	421
Dividends on Preferred Stock of Subsidiaries	**—**	1	(1)	**—**	11	(11)
Net Loss Attributable to Noncontrolling Interests	**(59)**	(52)	(7)	**(127)**	(107)	(20)
NET INCOME (LOSS) ATTRIBUTABLE TO SOUTHERN COMPANY	**$ 855**	$ (87)	$ 942	**$ 3,976**	$ 3,524	$ 452

Notes

- Certain prior year data may have been reclassified to conform with current year presentation.

Southern Company
Kilowatt-Hour Sales and Customers
(In Millions of KWHs)

	Three Months Ended December				Year-To-Date December			
	2023	2022	Change	Weather Adjusted Change	**2023**	2022	Change	Weather Adjusted Change
Kilowatt-Hour Sales-								
Total Sales	**45,351**	47,398	(4.3)%		**195,507**	204,273	(4.3)%	
Total Retail Sales-	**33,817**	34,264	(1.3)%	(0.3)%	**144,531**	147,981	(2.3)%	(0.4)%
Residential	**10,622**	11,000	(3.4)%	(1.0)%	**47,080**	49,633	(5.1)%	(0.5)%
Commercial	**11,294**	11,219	0.7 %	1.4 %	**48,343**	48,279	0.1 %	1.3 %
Industrial	**11,765**	11,899	(1.1)%	(1.1)%	**48,556**	49,474	(1.9)%	(1.9)%
Other	**136**	146	(6.2)%	(5.9)%	**552**	595	(7.2)%	(6.8)%
Total Wholesale Sales	**11,534**	13,134	(12.2)%	N/A	**50,976**	56,292	(9.4)%	N/A

(In Thousands of Customers)

	Period Ended December		
	2023	2022	Change
Regulated Utility Customers-			
Total Utility Customers-	**8,861**	8,795	0.8%
Total Traditional Electric	**4,487**	4,437	1.1%
Southern Company Gas	**4,374**	4,358	0.4%

Southern Company
Financial Overview
As Reported
(In Millions of Dollars)

	Three Months Ended December			Year-To-Date December		
	2023	2022	% Change	**2023**	2022	% Change
Southern Company –						
Operating Revenues	**$ 6,045**	$ 7,047	(14.2)%	**$25,253**	$29,279	(13.8)%
Earnings (Loss) Before Income Taxes	**800**	(234)	N/M	**4,345**	4,223	2.9 %
Net Income (Loss) Available to Common	**855**	(87)	N/M	**3,976**	3,524	12.8 %
Alabama Power –						
Operating Revenues	**$ 1,630**	$ 1,794	(9.1)%	**$ 7,050**	$ 7,817	(9.8)%
Earnings Before Income Taxes	**216**	114	89.5 %	**1,451**	1,774	(18.2)%
Net Income Available to Common	**238**	84	183.3 %	**1,370**	1,340	2.2 %
Georgia Power –						
Operating Revenues	**$ 2,313**	$ 2,366	(2.2)%	**$10,118**	$11,584	(12.7)%
Earnings (Loss) Before Income Taxes	**636**	(89)	N/M	**2,528**	2,183	15.8 %
Net Income (Loss) Available to Common	**533**	(38)	N/M	**2,080**	1,813	14.7 %
Mississippi Power –						
Operating Revenues	**$ 337**	$ 415	(18.8)%	**$ 1,474**	$ 1,694	(13.0)%
Earnings Before Income Taxes	**16**	13	23.1 %	**224**	201	11.4 %
Net Income Available to Common	**15**	14	7.1 %	**188**	164	14.6 %
Southern Power –						
Operating Revenues	**$ 503**	$ 751	(33.0)%	**$ 2,189**	$ 3,369	(35.0)%
Earnings (Loss) Before Income Taxes	**(16)**	8	N/M	**242**	267	(9.4)%
Net Income Available to Common	**69**	89	(22.5)%	**357**	354	0.8 %
Southern Company Gas –						
Operating Revenues	**$ 1,285**	$ 1,964	(34.6)%	**$ 4,702**	$ 5,962	(21.1)%
Earnings Before Income Taxes	**191**	75	154.7 %	**826**	752	9.8 %
Net Income Available to Common	**140**	56	150.0 %	**615**	572	7.5 %

N/M - Not Meaningful

Notes

- See Financial Highlights pages for discussion of certain significant items occurring during the periods.